



# Senate

General Assembly

**File No. 700**

February Session, 2026

Senate Bill No. 515

*Senate, April 20, 2026*

The Committee on Finance, Revenue and Bonding reported through SEN. FONFARA of the 1st Dist., Chairperson of the Committee on the part of the Senate, that the bill ought to pass.

## **AN ACT CONCERNING THE CONNECTICUT WORKFORCE AND A PRODUCTIVITY GAP SURCHARGE.**

Be it enacted by the Senate and House of Representatives in General Assembly convened:

- 1       Section 1. (*Effective from passage*) (a) As used in this section:
- 2       (1) "Augmented productivity" means the portion of gross revenue
- 3       that exceeds an employer's three-year historical average, provided such
- 4       increase is achieved through the integration of collaborative technology
- 5       while maintaining a stable workforce;
- 6       (2) "Collaborative technology" means any hardware, software or
- 7       algorithmic system, including artificial intelligence, designed to be
- 8       operated by or to assist an employee in the performance of such
- 9       employee's duties, where the technology serves as a multiplier of the
- 10      employee's individual productivity rather than as a stand-alone
- 11      replacement of the employee;
- 12      (3) "Productivity gap" means the measurable increase in revenue-per-

13 employee hours that occurs when Connecticut payroll is reduced  
14 materially while gross revenue remains stable or increases; and

15 (4) "Stable workforce" means a Connecticut-domiciled workforce  
16 where the total headcount and aggregate payroll expenses for such  
17 workforce remain at or above ninety-five per cent of the three-year  
18 historical average of the employer.

19 (b) (1) Not later than January 1, 2027, the Secretary of the Office of  
20 Policy and Management shall, in consultation with the Commissioner  
21 of Revenue Services, the Labor Commissioner and the Chief Workforce  
22 Officer, submit an implementation plan to the General Assembly, in  
23 accordance with the provisions of section 11-4a of the general statutes,  
24 to ensure that technological advancements serve to augment worker  
25 capability rather than render it obsolete and productivity gains lead to  
26 a more skilled workforce, by establishing (A) a mechanism to reinvest  
27 capital when business output and labor costs become materially  
28 decoupled, (B) steps to be actively taken by the state to minimize such  
29 decoupling by fostering collaborative productivity models that increase  
30 output without a corresponding decline in the workforce, and (C) a  
31 workforce and productivity gap contribution from employers.

32 (2) The workforce and productivity gap contribution plan shall  
33 include:

34 (A) A formula for a surcharge to be assessed annually for each income  
35 or taxable year in which an employer maintains a productivity gap.  
36 Such surcharge shall reflect the financial delta between an employer's  
37 baseline productivity levels and its reduced payroll expenses for the  
38 applicable income or taxable year, and shall be structured to ensure that  
39 efficiency gains realized through the displacement of employees are  
40 recaptured by the state on an ongoing basis to mitigate the resulting  
41 economic impact;

42 (B) An augmented productivity tax exemption that ensures that any  
43 augmented productivity achieved by an employer is permanently  
44 exempt from taxation by the state;

45 (C) Administrative procedures for the reporting and collection of  
46 such surcharge, based on Connecticut-specific payroll and tax data; and

47 (D) The establishment of a workforce and economic stability account,  
48 in which the surcharges collected shall be deposited and shall be used  
49 exclusively for the purposes of workforce retraining, technical  
50 education and career transition programs for displaced employees.

51 (c) If the General Assembly does not enact, prior to July 1, 2027, the  
52 implementation plan submitted pursuant to subsection (b) of this  
53 section, notwithstanding the provisions of sections 4-168 to 4-172,  
54 inclusive, of the general statutes, the Secretary of the Office of Policy and  
55 Management shall issue policies and procedures to implement the  
56 provisions of such plan. The secretary shall post such policies and  
57 procedures on said office's Internet web site and submit such policies  
58 and procedures to the Secretary of the State for posting on the  
59 eRegulations System, at least fifteen days prior to the effective date of  
60 such policies and procedures. Any such policies and procedures shall  
61 no longer be effective upon the adoption of such policy or procedure as  
62 a final regulation in accordance with the provisions of chapter 54 of the  
63 general statutes.

|                                                                               |                     |             |
|-------------------------------------------------------------------------------|---------------------|-------------|
| This act shall take effect as follows and shall amend the following sections: |                     |             |
| Section 1                                                                     | <i>from passage</i> | New section |

**FIN**            *Joint Favorable*

*The following Fiscal Impact Statement and Bill Analysis are prepared for the benefit of the members of the General Assembly, solely for purposes of information, summarization and explanation and do not represent the intent of the General Assembly or either chamber thereof for any purpose. In general, fiscal impacts are based upon a variety of informational sources, including the analyst's professional knowledge. Whenever applicable, agency data is consulted as part of the analysis, however final products do not necessarily reflect an assessment from any specific department.*

## **OFA Fiscal Note**

### **State Impact:**

| Agency Affected      | Fund-Effect | FY 27 \$           | FY 28 \$  |
|----------------------|-------------|--------------------|-----------|
| Policy & Mgmt., Off. | GF - Cost   | Up to<br>\$300,000 | Potential |

Note: GF=General Fund

**Municipal Impact:** None

### **Explanation**

The bill results in a cost of up to \$300,000 to the Office of Policy and Management (OPM) in FY 27 for a consultant to (1) develop a plan for technological advancements and productivity gains related to the workforce, and (2) submit the plan by January 1, 2027. Consultant costs are dependent on the complexity of the plan as it must meet certain requirements outlined in the bill.

The bill also results in a potential cost to OPM in FY 28 to the extent OPM is required to issue policies and procedures to implement this plan in the instance that the General Assembly does not enact the plan prior to July 1, 2027.

### **The Out Years**

The annualized ongoing fiscal impact identified above would continue into the future subject to inflation.

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**OLR Bill Analysis****SB 515*****AN ACT CONCERNING THE CONNECTICUT WORKFORCE AND A  
PRODUCTIVITY GAP SURCHARGE.*****SUMMARY**

The Office of Legislative Research does not analyze Special Acts.

**COMMITTEE ACTION**

Finance, Revenue and Bonding Committee

Joint Favorable

Yea    34    Nay    20    (03/30/2026)